

Technical Analysis Systems Guide

by The Trading Channel (Steven Hart)

Blockchain Trust Enterprise - Mentorship Program

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Chapter 1: Supply and Demand Zone Mapping

Supply and demand zones are not the same as support and resistance. Support and resistance are horizontal lines, while supply and demand zones are areas where institutional orders cluster. To identify a demand zone, find a strong bullish move that left a base of one to three candles before the impulse. Draw a rectangle from the low of the base to the open of the last bearish candle before the rally. This zone represents unfilled buy orders. When price returns to this zone, institutional buyers step in again, creating a high-probability entry. Fresh zones that have not been tested are stronger than zones that have been revisited multiple times. The key is patience: wait for price to come to your zone rather than chasing it.

Chapter 2: Order Flow Fundamentals

Order flow analysis reveals what is happening behind the candlestick. While a candle shows open, high, low, and close, order flow shows the actual transactions: aggressive buyers hitting the ask, sellers hitting the bid, and passive limit orders absorbing momentum. The delta, the difference between market buys and market sells, tells you who is in control. A rising price with negative delta means buyers are exhausting and a reversal is near. Tools like footprint charts and volume profile give you the institutional perspective that candlestick patterns alone cannot provide.

Chapter 3: Multi-Timeframe Confluence

The most reliable setups occur when multiple timeframes agree on direction. Start with the weekly chart to identify the major trend. Move to the daily to find the current swing structure. Then drop to the four-hour or one-hour chart for your entry. A demand zone on the daily that aligns with a weekly support level and a four-hour bullish divergence is a triple-confluence trade with high probability. Never trade a lower timeframe signal that contradicts the higher timeframe trend. This single rule eliminates most losing trades.

Chapter 4: Backtesting Your Edge

A strategy without backtesting data is a guess. Record at least one hundred historical trades using your exact rules including entry criteria, stop loss, and take profit levels. Calculate win rate, average win, average loss, and expectancy. Expectancy equals win rate times average win minus loss rate times average loss. If expectancy is positive, you have a statistical edge. If not, adjust one variable at a time and retest. Forward-test with small position sizes for thirty days before committing real capital. The numbers never lie.